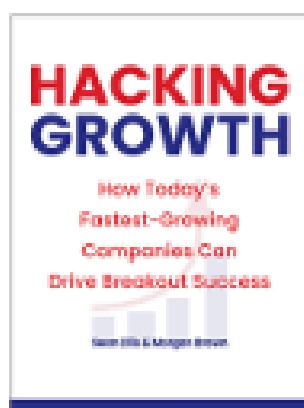




HACKING GROWTH

How Today's Fastest Growing Companies Can
Drive Breakout Success

SEAN ELLIS & MORGAN BROWN

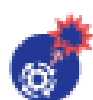


The Big "So What"

How can you acquire new customers, keep them engaged, convert them to paying customers/ambassadors, and leverage technology to grow your revenue with a shoestring budget? This book presents the growth hacking method: using rigorous analyses and rapid tests to identify, test and implement high-impact growth opportunities. It can be used by any company (big or small) and for any function (e.g. marketing or engineering).



Introduction



In the 2000s, Sean Ellis started testing unconventional approaches to help various companies to grow rapidly given a limited budget and tough competition. These techniques and processes were gradually expanded and refined to become the growth hacking model presented in this book.

- For example, Dropbox grew from 100,000 to 4 million users in 14 months without any traditional marketing. Instead, it offered 250MB of free storage to each user who referred a friend to try Dropbox. Airbnb struggled until it cross-published with Craigslist to redirect searches for short-term vacation rentals to the Airbnb booking website.
- Growth hacking provides a rigorous method for rapid, cross-functional experimentation. Today, many leading firms—such as LinkedIn, Facebook, Quora, Tesla, Adobe and Airbnb—all use growth hacking as a key engine of growth instead of relying on costly advertising campaigns.

KEY QUOTES

"Growth hacking is so much more than a business strategy, or even an ongoing process. It's a philosophy, a way of thinking, and it's one that can be adopted in any team or company, big or small."

"Growth hacking isn't just about how to get new customers. It's about how to engage, activate, and win them over so they keep coming back for more."

"Growth hacking empowers companies to achieve breakout growth without pouring money into outdated and horribly expensive marketing campaigns of questionable business value."

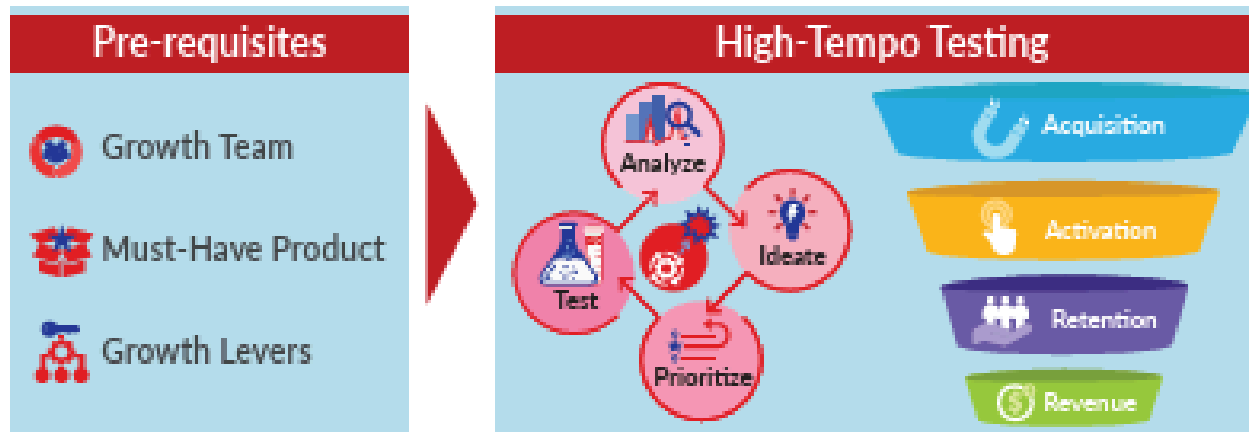


In this summary, we'll explain growth hacking in 2 parts: an overview of growth hacking followed by a playbook for execution.



Part 1: An Overview of Growth Hacking

Here's an overview of the key components involved in growth hacking:



The Pre-Requisites

There're 3 pre-requisites that must be in place before you're ready to drive growth via high-tempo testing.



A growth team optimizes results by bridging the silos found in most organizations. Growth teams complement rather than replace traditional functions, and can range from 4-5 people to more than 100.

- The key is to have cross-functional expertise including business strategy/goals, marketing, data analysis and product development. Key roles include:
 - (i) A *growth lead* who sets defines the experiments' goals, pace and metrics;
 - (ii) A *product manager* who oversees the delivery of the desired product features;
 - (iii) *Software engineers* who write the code for the required tests and product changes;
 - (iv) *Marketing specialists* with the relevant expertise (e.g. social media, email marketing);

KEY QUOTES

"Start-ups and established companies alike...simply can't afford to be slowed down by organizational silos."

"Growth cannot be a side project."

(v) *Data analysts* who can collect, integrate and analyze data from multiple sources; and

(vi) *Product designers* who specialize in the relevant products.

- In startups and SMEs, team members often wear multiple hats. As the company grows, the growth team's size and composition will evolve. For example, LinkedIn's growth team grew from 15 people to more than 120 members spread over 5 units focusing on network growth, search engine optimization/marketing, onboarding, international growth, and user engagement.
- You can bring in external specialists to strengthen key capabilities, but the responsibility for growth must always rest with the top management, e.g. the founder/CEO or a senior executive. Typically, the reporting structure will follow (i) a *product-led model* where the team focuses on improving specific aspect(s) of a product's performance, or (ii) a *stand-alone* team reporting to a VP of Growth.



Don't start rapid growth experimentation until you have a must-have product, i.e. you know its *core value*, to *whom* it's a must-have, and *why*. Pushing for growth prematurely can be costly or even fatal since (i) you'll waste resources promoting something that no one wants and (ii) you'll end up generating critics instead of fans.

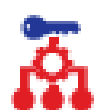
- Every wildly-successful product has an "aha moment": when a user experiences the core value or benefit of the product, finds it irresistible and becomes a fan. Yelp's aha moment is when users discover local restaurants or businesses via trusted community reviews. Facebook's moment is when users see instant updates and photos that show what their friends/family are doing.
- To assess if you have an aha experience, use these 2 tests:
 - (i) The *must-have survey*. Ask users "How disappointed would you be if this product no longer existed tomorrow?", with responses on a 4-point scale (very disappointed, not disappointed, and N/A—I no longer user it). The goal is to have $\geq 40\%$ users respond with "very disappointed".

KEY QUOTES

"It's vital not to outsource the core responsibility for growth...growth is too important to delegate."

"While creating a must-have product alone is not sufficient for breakout success, it is the baseline requirement for rapid and sustainable growth."

- (ii) Whether your *retention rate* is higher than your competitors and stable over time.
- If your product passes both tests, it's ready for growth hacking. If not, you must first address the gap(s) using all 3 methods below:
 - (i) Do additional customer *surveys/interviews* and/or observe how customers use your product.
 - (ii) Run *efficient experiments* (minimum viable tests) for product/message changes across the entire funnel, such as A/B tests to compare 2 options or multivariate tests to compare all possible combinations of a component.
 - (iii) Do a *deep analysis* of your user data. Consider creating a data warehouse to store all customer info, so you can identify the complete path for each group of users, exactly how an active user spends time on your website (compared with someone who doesn't), and when/why someone leaves the funnel.
- Be open to unexpected discoveries which may lead to a shift or pivot in your business focus. Instagram (originally called Burbn) dropped its confusing host of features after analyses showed that users only used 1 feature—photos. YouTube (originally a video dating site) made a pivot after analyses showed that users were uploading all types of videos, not just those for dating.



Once you know your aha moment, your goal is to get as many users to experience it as quickly as possible. However, you won't create a big-enough impact by testing lots of small changes (e.g. different button colors). You need to focus on high-impact, high-potential tests, i.e. you must identify the right growth levers and have a proper growth strategy.

- Start by figuring out your growth equation, which summarizes the key factors that drive your growth. Such equations will vary for different products/businesses, e.g. :
 - (i) A news site with a subscription model: Subscriber revenue growth = Website traffic × Email conversion rate × Active user rate × Conversion to paid subscriber + Retained subscribers + Resurrected subscribers.

KEY QUOTES

"The key mission at this stage is to look for the behaviors that differentiate those customers who find your product must-have—that is, those who use or buy repeatedly—from those who don't."

"Growth hacking is not about throwing ideas against the wall as fast as you can to see what sticks, it's about applying rapid experimentation to find and then optimize the most promising areas of opportunity."

"Reducing the complexity of your business operations down to a basic formula is immensely helpful in allowing the growth team to focus on the right signals in this vast sea of data noise."

(ii) An ecommerce site: Gross merchandise volume growth = Number of sellers listing items × Number of listed items × Number of buyers × Number of successful transactions.

- Essential metrics are those that correlate most directly with your aha moment. Narrow down to 1 key metric that'll ultimately drive your growth—this is your “North Star” or the metric that best captures the core value for customers. eBay's North Star is the number of items listed for sale, while LinkedIn's is the number of people who have filled in their work profiles.

(i) North Stars help to *direct your focus*. To improve the number of nights booked (Airbnb's North Star), the team zoomed in on New York City as an under performing market. They found that the quality of photos there were poorer than usual, and a test proved that postings with better photos got 2-3x more bookings. This led to initiatives to help hosts to improve their photo quality, improving global booking rates by 2.5x.

(ii) North Stars may *evolve* as your company grows. A company can have 1 North Star yet have various growth teams focusing on different metrics, like how LinkedIn focuses on 5 areas of growth despite having 1 overarching North Star.

- To make the most of your data and analysis:

(i) Use a mix of *quantitative analysis and qualitative probing* to figure out why certain trends or gaps exist.

(ii) Make the North Star and key data/metrics *accessible* to the whole company. Use charts, visuals and ratios to present the key metrics at a glance, and show how you're performing relative to specific goals or benchmarks.



High Tempo Testing

Once the pre-requisites are in place, you're ready to start the growth hacking process. This comprises 4 key steps—analysis, ideation, prioritization and testing—that run in a continuous cycle.

KEY QUOTES

"You want to track, at a minimum, the metrics for each of the steps users must take to reach the aha moment and how often they are taking those steps."

"The companies that grow the fastest are the ones that learn the fastest."



You'll need to run lots of experiments because not all of them will yield significant or conclusive results.

- Small insights and successes add up. A 5% improvement in conversion rate each month will compound into an 80% improvement in a year. The faster you test and learn, the faster you'll grow.
- Start slow and gradually ramp up. Small teams can start with 1-2 tests per week, while larger teams can go up to 20-30 tests per week.



Kick off the process with a team meeting to define each person's role, and explain the growth hacking principles and processes. Then, adopt this 4-step process in a systematic and disciplined fashion:

- Analyze: gather data and insights. At this phase, the growth lead typically works with the data analysts to address questions such as: how do your best customers behave (e.g. shopping and usage patterns), what are their characteristics (e.g. source of acquisition and profile), and what causes users to drop off (e.g. pages with high exit-rates or bugs). The marketing specialists may concurrently conduct user surveys and interviews. The initial data and analyses are compiled and shared with the team in advance, to facilitate discussion at the next team meeting.
- Ideate: generate ideas. After the meeting, every member should take 4 days to submit as many ideas as possible in a templated format which includes:
 - (i) The *idea name* (<50 characters) and *description* of the idea to be tested (including who, what, where, when, why and how).
 - (ii) The *hypothesis* of the expected cause-and-effect, e.g. "By making it easy for shoppers to view and reorder previously purchased items, we can increase repeat purchase by 20%."
 - (iii) The *metrics* to be tracked. Use multiple metrics since improvements in 1 area may come at the expense of others.

KEY QUOTES

"Generally, big successes in growth hacking come from a series of small wins, compounded over time."

"You cannot know ahead of time which experiments are going to be most effective. The best you can do is stay nimble and data-driven."

"Ideas are the rocket fuel of growth. And you need a pipeline of them delivering a steady flow."

"The more ideas that go into your pipeline the better your chances of finding winners that spur growth."

You can also get ideas from people outside the team (e.g. customers or suppliers) by sharing your growth levers and target metrics with them.

- Prioritize what to experiment. Each idea must come with a score to help the team prioritize what to do.
 - (i) You can use the *ICE score* to rate 3 items: (a) *Impact* (how far the idea is expected to improve the key metric), (b) *Confidence* (how strongly the ideator believes the expected impact can be delivered), and (iii) *Ease* (the amount of time/resources needed to run the test). Use a 10-point scale for each component, then calculate the average score.
 - (ii) The ratings needn't be perfect—they're just a tool to facilitate *debate and decisions*. The growth lead can review the ideas and suggest improvements prior to each meeting, or get the team to nominate the top ideas they wish to discuss so only the "finalists" are debated at the meetings.
 - (iii) After you've shortlisted the experiments, focus on those that can be done in 1 week, and put the rest in the *experiment pipeline* (with an assigned timeline).
- Test: run the experiments. The selected tests for the week are moved up the work list, with 1 member in charge of each test.
 - (i) Members must collaborate with other colleagues to implement the tests, while the growth lead helps to remove obstacles.
 - (ii) Use these *2 rules of thumb* to ensure the results are statistically valid: (a) Use a 99% statistical confidence level so you only get 1 false-positive out of 100 samples, and (b) if there's a tie or inconclusive results, stick to the original/control version.
- The cycle is repeated when you review/analyze the results to decide on the next steps.
 - (i) *Summarize the test results* including the name/description, type of test, features impacted, key

KEY QUOTES

metrics, start/end date, hypothesis and results, other variables that may have affected the results, and your conclusions.

- (ii) These should be shared and put into a knowledge database for future reference. *Communicate* the results (e.g. sending a “wins” email, creating a group chat or publishing test results on the company dashboards).



The authors recommend holding your growth meetings weekly (or bi-weekly). Any brainstorming and preparation should be done prior, so each meeting can focus on reviewing the previous weeks’ results and setting priorities for the next week.

- Here are how GrowthHackers’ own meetings are run:
 - (i) Growth meetings are held every Tuesday so people can finish their preparation on Monday.
 - (ii) The growth lead is responsible for sending the compiled data/updates and agenda in advance, and for running the meeting effectively within 1 hour.

SAMPLE MEETING AGENDA	
15 min	Review metrics, highlight key positives vs negatives, and update the focus area
10 min	Review last week’s test activity (including tempo, # tests and reasons if any tests weren’t done as planned)
15 min	Share key lessons learned (e.g. experiment outcomes, Q&A, team’s conclusions on next steps)
15 min	Select the next set of growth tests (for the coming week)
5 min	Check the idea pipeline to ensure there’s a healthy pool of fresh ideas being added



Part 2: The Growth Hacking Playbook

In this section, we’ll break down **how you can implement high-tempo testing across the entire sales and marketing funnel: acquisition, activation, retention and revenue.**

KEY QUOTES



Hacks for Acquiring Users/Customers

A must-have product means you've already achieved Product-Market Fit, i.e. you have a compelling product for your target market. **To start acquiring new customers rapidly, you must achieve 2 additional types of fit and create viral customer loops.**



Language-Market Fit is about describing your product in a way that resonates with your target audience. People's online attention span is extremely short and you only have 8 seconds to convey how your product will improve their life.

- When iPod was launched in 2001, it succinctly conveyed its aha experience with 5 words: "1000 Songs in Your Pocket". To find good words/phrases, try using your customers' language: talk to your customers and examine the words they use to review, share or describe your product.
- Small word changes can have a huge impact, and can be tested with A/B tests. Tickle's growth skyrocketed after it changed just 1 word from "Store your photos online" to "Share your photos online". A dating app saw a jump in growth when they switched from "Find a Date" to "Help People Find a Date".
- Changes in wording can also affect your brand and product focus. For example, P&G launched Febreze with the words "cleans bad smells out of fabrics for good". After observing how avid buyers used Febreze, they added scent and changed the words to "for freshness that surrounds you like never before".



Channel-Product Fit is about selecting the most effective marketing channels for your target audience. It's better to optimize a few top channels than to spread your resources too thinly across many channels. This involves 2 parts:

- Discovery: Explore channels across 3 key categories: viral/word-of-mouth (e.g. social media, games), organic (e.g. search engine optimization, email marketing), and paid (e.g. offline or online ads). Consider channels that're the *most appropriate* for your business model and your

KEY QUOTES

"As you plan your first hacks to test, start with language, and then go from there."

users' characteristics (e.g. the types of words they search for, where they shop, the social networks they use). Once you have specific ideas to improve acquisition, *score/prioritize* which ones to test first. You can score each idea against these 6 factors (on a scale of 1-10), then calculate the average score:

- (i) Expected *cost* of running the experiment
 - (ii) Ease of *targeting* or reaching your intended audience
 - (iii) How much *control* you have over the experiment (e.g. if you can easily adjust or stop it halfway)
 - (iv) How much *input time* is needed to launch the experiment
 - (v) How much *output time* is needed to extract the results
 - (vi) What *scale* of audience can you reach with the experiment.
- Optimization: As the team starts to run the experiments, some options will stand out and new ideas will surface. Keep refining the channels that work and eliminating those that don't.



Design customer loops. Virality can come from word-of-mouth or be built into your product (instrumental virality).

- $\text{Virality} = \text{Payload} \times \text{Conversion Rate} \times \text{Frequency}$, where (i) payload is the number of people to whom a user will send an invite (e.g. a link/widget) each time, (ii) conversion rate reflects the response rate to the invite, and (iii) frequency is how often people are exposed to the invites.
- Here are some useful tips for creating successful viral loops:
 - (i) Consider possible *network effects*, i.e. the users' product experience will improve if they bring in other users (e.g. social networks like Facebook or LinkedIn).
 - (ii) Offer an *incentive* that's aligned with your product's core value, e.g. Airbnb giving \$25 toward your next stay.

KEY QUOTES

"If they don't love it, they're not going to share it. Virality is a balance of how good the packaging is and how good the content is."

—Eli Pariser

"While finding the right words to appeal to people is vital, offering true value is a necessary ingredient for achieving viral growth."

- (iii) *Integrate the invitation* into the user experience, e.g. once you join LinkedIn, you're instantly prompted to view your connections and import your contacts.
- (iv) Ensure the invitees have a *good experience*, e.g. Airbnb includes the name and picture of the person who invited you, with a personal message and a call-to-action to claim your free credit.
- (v) *Keep experimenting* to create a great referral program. After rounds of testing, LinkedIn discovered that the optimal number of invites for their service was 4 (2 invites were too few and 6 were too many).



Hacks for Activating Users/Customers

Having attracted your potential customers, you must now activate them, i.e. get them to use your product.

Use these 3 steps to activate customers effectively:

- Step 1: Map out the steps that users must take to get to the aha moment, then calculate the conversion rate for reach step. Consider the channels that brought the customers to you and their journey after they found you.
- Step 2: Create a funnel report to show the conversion rates for each step (and how they differ across user segments). Look for the areas with the highest drop-offs, and consider differences between active users, activated users who went cold, and those who were never activated. For example, HubSpot found that users who signed up with their work emails were more active for their new product (compared to those with a personal email), so they started asking for users' work email in the sign-up form.
- Step 3: Conduct surveys/interviews to understand why people are dropping off at certain points, then test high-impact ideas based on those insights. Never rely on your own assumptions.
 - (i) To avoid irritating users, keep your surveys brief to ideally 1-2 questions. Focus on 2 situations: (a) when they seem confused (e.g. they stay too long on a page

KEY QUOTES

"Improving activation is at its core about increasing the rate at which you get new users to your aha moment. The more visitors who experience what makes your product a musthave, the more of them will stick with you."

"Always remember that there are no silver bullets in growth hacking, and that even what seem like slam-dunk ideas can fail."

or are about to leave the website), or (b) just after they've finished a step that others don't take (e.g. make a purchase). For instance, you can ask why someone didn't complete an order, or what convinced them to complete an order.

- (ii) You should also test your mini questionnaires to improve engagement (e.g. the choice of words, images and visuals).



Removing common obstacles to activation. Make sure that the landing page for new users (i) conveys relevance, (ii) shows the value of the product, and (iii) has a clear call to action (CTA).

- Explore *hacks* like allowing users to register with a single click, or letting them enjoy your product before they sign up. You can also improve engagement via questionnaires or gamification.
- *Triggers* (e.g. website CTA buttons, emails or push notifications) are commonly used to improve activation. You can experiment with notification triggers for account creation, purchase, reactivation, new features launches, top user incentives, etc.
 - (i) As a rule of thumb, you should only get in touch with users when there's an opportunity of real value to them.
 - (ii) When crafting triggers, try to incorporate Robert Cialdini's 6 persuasion principles: reciprocity (e.g. give a freebie for signup), authority (e.g. use endorsements from influential people/firms), social proof (e.g. show a large number of users), liking (e.g. use referrals from friends), scarcity (e.g. limit the number of freemiums), and commitment and consistency (e.g. break it down into a series of tiny steps).



Hacks for Retaining Users/Customers

When you retain customers, you can get more repeat purchases (without the corresponding acquisition costs), have more opportunities to understand them and improve your product,

KEY QUOTES

"While we certainly notice the friction in the products we use, we often don't recognize sources of friction in the ones we've been involved in creating or marketing."

"Creating positive friction is a delicate art of putting manageable, ideally engaging steps in the path of visitors that help them understand what the value is and get to the aha moment with greater predictability."

"The longer you retain customers, the more opportunity you have to earn more revenue from them."

and get additional word-of-mouth referrals. A study found that a 5% increase in customer retention rates can improve profits by 25-95%.

 A healthy retention rate varies with each product/business, but you can study similar products/services to decide on your metrics. Ideally, you should see a growing retention rate over time, like how Instagram becomes more valuable with time as people post more photos and follow more people. You should also do cohort analyses to examine why some groups of users are staying longer than others.

 Retention can be broken down into 3 phases:

- Initial retention is the period when a new user either decides to keep using the product/service or goes dormant. This window varies for different products. Your goal is to identify the minimum level of activity required (e.g. they must return $\geq 3x$ in 2 weeks to stay engaged) and focus on getting users to that tipping point. Retention hacks are similar to activation hacks, i.e. you want to get users to the aha moment asap.
- Medium-term retention kicks in when the initial novelty fades. Your goal is to help users to form habits so your product is incorporated into their daily routine. According to Nir Eyal, you can design a habit-forming loop in 4 parts: by using a *trigger* to lead to an *action*, which brings a *reward*, which leads to an even greater *investment* by the customer. Focus on testing different rewards to see what works best for different cohorts, e.g.
 - (i) *Brand ambassador programs* with a blend of social rewards (e.g. social “likes” or elite status) and tangible ones (e.g. discount tiers or credits).
 - (ii) *Recognizing achievements*, e.g. when a customer passes a certain milestone or takes certain actions.
 - (iii) *Personalization*, e.g. customizing your email communications and product recommendations.
 - (iv) *More value “coming soon”* (e.g. upcoming features or offerings).

KEY QUOTES

“One general rule that holds true across most product types is that improving the perceived value of the rewards leads to greater retention.”

- Long-term retention requires product improvement—by enhancing existing features and adding new ones. Remember to continually educate your customers about the value they can get, to renew their perception of your product as a must-have.



Resurrection: To win back users who've abandoned your product, you must find out why they left in the first place. When a customer's purchases or activity drops to zero after a designated time period, the team should experiment with resurrection flows (e.g. sending emails or targeted ads) to win them back.



Hacks for Monetizing Users

Ultimately, your goal is to earn more revenue from each customer over time, i.e. to increase your customers lifetime value (LTV).



Refer to the customer journey map to identify all the opportunities for monetization from acquisition to retention.



Next, analyze (i) which parts of the customer journey generate the most money, and (ii) where are the pinch points where potential revenue is being lost.

- Once again, compare different cohorts, e.g. slice the data by location, gender, age, items purchased, features used, webpage engagement etc. For products sold internationally, you should also consider different payment norms or fees for each country.
- It's useful to develop customer personas for groups of customers with similar characteristics, needs and wants. You can run experiments for each persona, get targeted feedback via surveys, or send personalized product recommendations or offers.
- One of the hardest areas to optimize is your pricing, which is set based on certain value metrics. Consider if your value metric (i) is aligned with perceived customer value, (ii) scales with product usage and (iii) is easy to understand. Since pricing is closely related to perceived value, lower prices don't always increase sales volume

KEY QUOTES

"Lower prices do often lead to a higher volume of sales—but not necessarily. In some cases, lowering the price can actually hurt sales or at least fail to provide the boost in demand hoped for."

or revenue. The only way to optimize pricing is through continual and careful experimentation.

- You can also apply Cialdini's 6 persuasion principles to optimize monetization. The key is to use data to measure what works, what customers will pay for, and experiment how best to meet those needs and maximize LTV.



Conclusion and Other Details in the Book



Ultimately, every product and business is different. The only way to uncover the best growth opportunities and hacks is to keep experimenting.

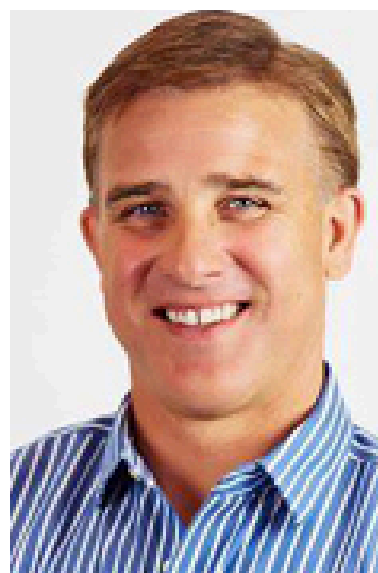
- When a growth team hits upon a winning idea, invest to get the most from it (including opportunities for cross-fertilization) instead of simply moving on to new areas.
- The job of growing a business is never finished. Prevent complacency by using growth teams to drive continual data-driven innovation and create a virtuous cycle of growth.



This is a detailed guidebook that takes you through the process of hacking growth step-by-step, including specific guidelines, case studies, sample questions and tips to help you grasp the concepts and tailor them to your specific product or business model. For more details and resources, please visit <https://growthhackers.com>.

About the Authors

Sean Ellis is an entrepreneur, investor, and startup advisor. He is the CEO of Growth Hackers and was previously founder and CEO of Qualaroo. Ellis graduated from the University of California. He was the head of marketing at LogMeIn and Uproar, and was the first marketer at Dropbox, Lookout and Xobni. He is an advisor to KISSmetrics and Eventbrite, a mentor at 500 Startups, a Board Member for Mavenlink and SignNow, and an investor in Bitium. For more details, visit www.seanellis.me.



KEY QUOTES

"Doubling down is a powerful way to stack one growth win on top of another."

"Driving growth is a job that is never truly done. The breakout companies that sustain their success are those who constantly push for more, leveraging their success, capitalizing on new opportunities, and creating a virtuous cycle of growth."